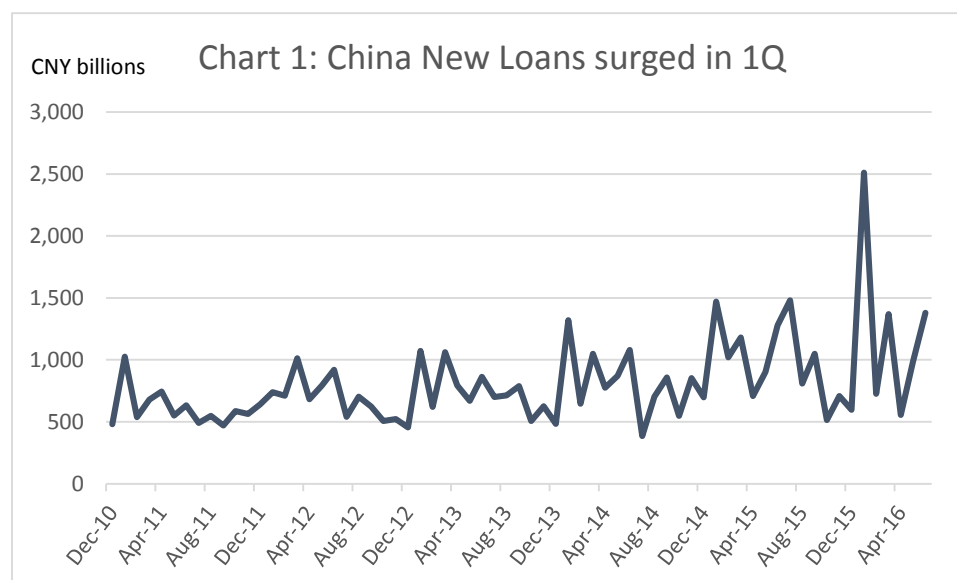


Horizon Asia Opportunity
Q2 2016 Commentary
July 2016

In the second quarter of 2016, the Horizon Asia Opportunity Institutional Composite (“Strategy”) rose 1.1%, net of fees, compared to the MSCI All Countries Asia Index, which rose 0.7%. The Strategy’s holdings in Consumer Discretionary names in Japan, Thailand and India contributed positively. Positions in Hong Kong gaming companies and Japanese Internet companies detracted from relative performance.

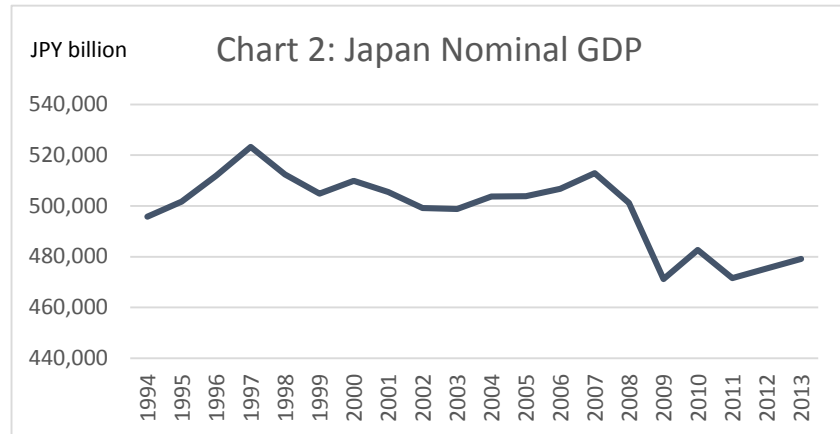
The Asian equity markets partially regained lost ground during the second quarter despite the unexpected British vote to exit the European Union (so-called Brexit) on June 24. Since the end of the second quarter, the global equity markets extended their gains and erased the loss that followed the Brexit shock. Emerging Asian markets such as Thailand, India and Indonesia rose the most during the quarter, reflecting the return of investors’ risk appetite.

China surprised again in May when the People’s Daily front page article suggested that the debt-led growth seen in the first quarter would no longer be welcome. The source of the article was supposedly a well-placed high ranking official. The consensus was that this person was President Xi himself; therefore, this article implied criticism of Premier Li. Once again, this development caused confusion about the future direction of economic policy in China. We continue to believe that the Chinese economy is going through a structural reform and that GDP growth will slow down further, especially as the country’s bank debt has grown to an extreme and unhealthy level (Chart 1)—this cannot be sustainable.

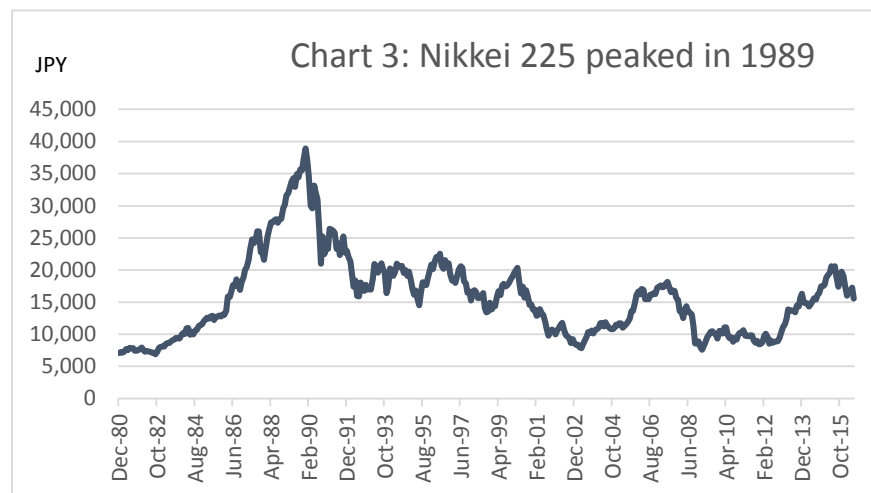


Source: PBOC, Bloomberg

Western central bankers are running out of monetary policy options to fend off the deflationary pressure and the slow nominal economic growth trend that has been building since the financial crisis of 2008. The most obvious case is Japan. Nominal GDP has not grown since the mid-1990s (Chart 2). Japan has been a laboratory for new economic policies for the past twenty years, as it was the first OECD country to enter a deflationary environment after the bubble burst in the early 1990s. In fact, it was Mr. Ben Bernanke who famously suggested to the Japanese government that it “helicopter money” to combat deflation. Japan was the first country to implement quantitative easing (QE) under Bank of Japan Governor Shirakawa after the bursting of the Internet Bubble and the 9/11 attack caused the sharp global economic slowdown of the early 2000s. However, Governor Shirakawa did not believe in QE’s effectiveness and worried about its potential negative impacts, and he frequently mopped up excess liquidity, weakening the power of QE. We believe that Japan had a chance to succeed, as it was the only country utilizing the QE policy during the global economic expansion phase, but the way in which it was implemented caused its failure. Nominal GDP has not grown since the mid-1990s, and the stock markets have been in a wide trading range since the market peaked at 39,000 (see Chart 3).

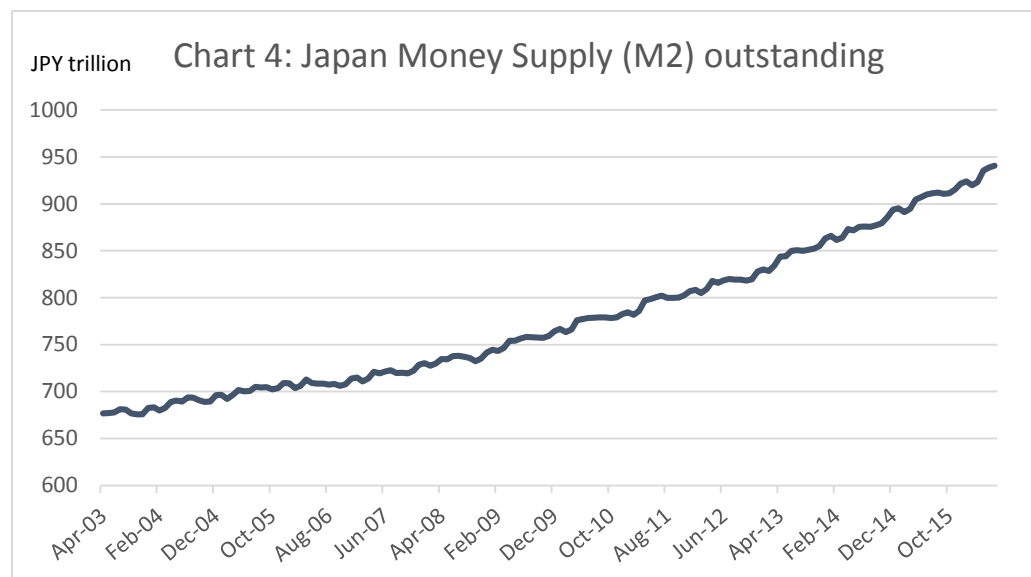


Source: Cabinet Office, Government of Japan



Source: Bloomberg

The US Federal Reserve Bank was more successful than the Bank of Japan in implementing a QE policy after the Financial Crisis of 2008, and so far, the US economy has not fallen into deflation or a liquidity trap. Nonetheless, the incremental effectiveness of the QE policies employed by the central banks of the developed world has been wearing thin recently. Japan is a prime example of this, (Chart 4), despite Governor Kuroda's decisive QE moves.



Source: Bank of Japan, Bloomberg

Pressure has been building for the Abe administration to come up with a brand new economic policy to kick start the economy. The most likely outcome could be another large scale fiscal package to stimulate the domestic economy. Some Japan watchers are suggesting that the government might use “helicopter money” measures (monetization of debt and permanent expansion of the monetary base) as suggested by Mr. Bernanke, but we believe this is very unlikely, given that the last time Japan experimented with this, during the 1930s, it ended up causing hyper-inflation and a loss of credibility for the Bank of Japan. Besides, Article 5 of Japan’s Public Finance Law prohibits the BOJ from directly buying any public bonds. Also, exiting from “helicopter money” would be very difficult, as Japan’s previous attempt in the 1930s demonstrated, and the BOJ should be acutely aware of this.

The Japanese financial markets are expecting some combined measures of monetary and fiscal stimulus from the Abe administration in the coming months, even though, in the past, these measures ultimately did not solve Japan’s structural problems and did not generate sustainable growth. What we need in the long run is serious structural reform on labor policy, immigration, taxation and education. These are more difficult to execute as Japan is a democracy, and getting a consensus on any of these issues is easier said

than done. We continue to favor owner operator companies, which are nimble and flexible, and therefore, are able to generate earnings growth even in the difficult macro environment Japan is now facing.

The Philippines is emerging as an interesting long term structural growth story. We are watching how the Duterte administration formulates economic policy going forward. So far, it appears to be business friendly, and his eight point economic agenda seems well thought out and executable. This plan focuses on economic growth, tax collection efficiencies and protection of the marginalized.

DISCLOSURES

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The MSCI All Countries Asia Index® captures large and mid-cap companies represented across 3 Developed Markets countries and 8 Emerging Markets countries in Asia. With 930 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

Note that indices are unmanaged, and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility, or tracking error targets, all of which are subject to change over time. The strategy is a total return strategy, and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

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Asia Opportunity - Institutional Composite

As of 6/30/2016



Investment Approach

- The strategy seeks long term capital appreciation by investing in undervalued stocks in Asia.
- Our investment process involves bottom-up, fundamental research to identify mispriced securities. We conduct face to face meetings with managements and competitors as well as analysis of business models and balance sheets. The strategy emphasizes management quality, with a preference for owner-operator companies.
- Returns are often generated by identifying businesses that cater to local economies, e.g. infrastructure, consumer, financial services, etc. Although the majority of the holdings are equities, the portfolio may invest in other parts of the capital structure when the research process identifies unique opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- Portfolio typically invests in 30 to 40 securities and position sizes generally range from 0.5% to 10.0%
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
MSCI All Country Asia

Assets Under Management:

Horizon Kinetics (\$bln) 5.9
Horizon Institutional (\$bln) 2.2

Inception Date:
January 2008

Portfolio Manager:
Murray Stahl
38 yrs investment experience

Aya Weissman
33 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.
(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	ITD
Total Return (gross)	0.5	1.4	-0.1	-5.5	5.8	8.6	8.6
Total Return (net)	0.4	1.1	-0.6	-6.4	4.8	7.5	7.5
MSCI All Asia NR	0.2	0.7	-1.6	-10.4	2.4	2.0	0.0
Excess Return (gross)	0.3	0.7	1.5	5.0	3.4	6.6	8.5
Standard Deviation (%)	—	—	—	12.5	11.2	14.1	15.6
Tracking Error (%)	—	—	—	10.3	6.9	7.9	10.5
Sharpe Ratio	—	—	—	-0.4	0.6	0.7	0.6
Information Ratio (arith)	—	—	—	0.5	0.5	0.8	0.8
Beta	—	—	—	0.6	0.7	0.8	0.7
UpMkt Capture Ratio (%)	—	—	—	42	83	97	88
Down Capture Ratio (%)	—	—	—	46	60	62	53

Top 10 Holdings*	% Port
transcosmos Inc.	6.5%
Pigeon Corporation Unsponsored ADR	5.1%
Internet Initiative Japan Inc. Sponsored ADR	4.3%
Minor International Public Co., Ltd.	4.0%
Unicharm Corporation	4.0%
Kakaku.com, Inc.	3.7%
H.I.S.Co., Ltd.	3.6%
Pola Orbis Holdings Inc.	3.6%
Genting Hong Kong Limited	3.4%
Mahindra & Mahindra Ltd. Unsponsored	3.0%

*Tax considerations may have led certain accounts in the composite to temporarily hold index ETFs. Such ETFs, which are not part of the composite, are included for performance purposes, but are not displayed as top holdings in the chart above.

Strategy Characteristics*	
Number of Positions	29
Avg. Market Cap. (B)	4.5
P/E ⁽¹⁾	11.6
Price/Book ⁽¹⁾	2.0
Dividend Yield	1.4%
Turnover (1 Year) ⁽²⁾	11.6%
Active Share ⁽³⁾	99.6%

⁽¹⁾ Weighted Harmonic Average

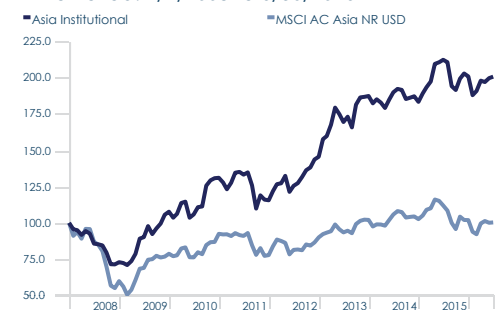
⁽²⁾ Based on Model Portfolio

⁽³⁾ Calculated as of the most recent quarter-end using the MSCI AC Asia Index as a benchmark.

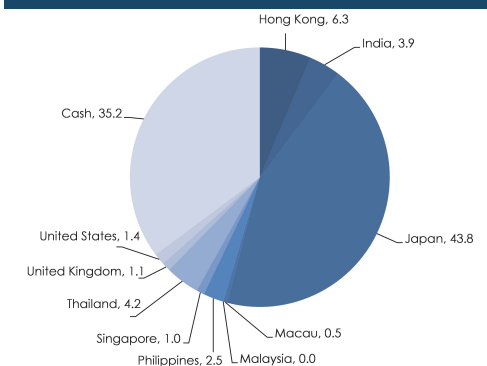
*Tax considerations may have led certain accounts in the composite to temporarily hold index ETFs. Such ETFs, which are not part of the composite, are included for performance purposes, but are not included in the chart above.

Cumulative Growth of \$100 (gross)

Time Period: 1/1/2008 to 6/30/2016



Country Allocation (%)



*Tax considerations may have led certain accounts in the composite to temporarily hold index ETFs. Such ETFs, which are not part of the composite, are included for performance purposes, but are not included in the chart above.

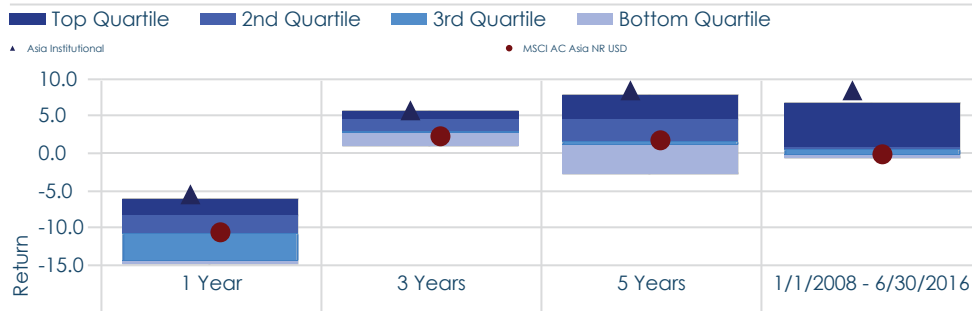
Asia Opportunity - Institutional Composite

As of 6/30/2016



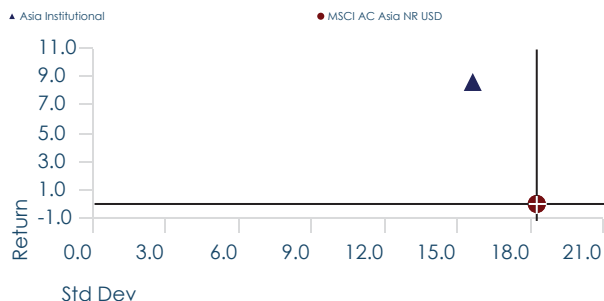
Performance Relative to Peer Group (gross)

As of Date: 6/30/2016 Peer Group (5-95%): Separate Accounts/CITs - U.S. - Diversified Pacific/Asia



Risk/Reward (gross)

Time Period: 1/1/2008 to 6/30/2016



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2016	-6.4	1.5	3.7	-0.5	1.4	0.5							-0.1	-1.6
2015	3.2	2.3	2.0	6.2	0.5	0.8	-0.8	-7.9	-1.4	4.1	1.8	-1.0	9.6	-0.7
2014	-2.7	1.5	-1.2	-2.0	3.2	2.7	1.2	-0.4	-3.3	0.5	0.5	-2.1	-2.2	0.5
2013	8.4	1.4	4.9	7.1	-2.5	-3.1	2.2	-4.3	9.5	2.8	0.2	0.3	28.8	13.4
2012	5.5	4.0	0.5	4.0	-8.4	3.4	1.5	3.3	3.6	1.4	4.0	1.3	26.0	15.8
2011	-2.5	-3.7	3.6	5.5	0.4	-1.4	1.1	-6.7	-12.7	8.3	-2.5	-0.4	-11.9	-15.9
2010	-3.9	2.6	7.0	0.8	-9.7	2.2	4.7	0.4	12.9	2.9	1.1	0.2	21.8	17.6
2009	-0.8	-1.9	3.9	6.8	13.4	1.1	8.5	-5.7	4.2	3.5	6.2	2.0	48.0	31.7
2008	-4.4	-0.7	-3.4	2.9	-1.9	-7.5	-0.5	-0.9	-6.0	-10.1	-0.2	2.1	-27.2	-40.3

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Sharpe ratio is a statistical measure that uses standard deviation and excess return to determine reward per unit of risk. A higher Sharpe ratio implies a better historical risk-adjusted performance. Morningstar chooses a risk-free benchmark based on the portfolio's domicile, e.g. the 3-month Treasury bill for portfolios based in the United States.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.
- Active Share is a measure of the percentage of holdings in a portfolio that differ from a benchmark index. It is calculated by taking the sum of the differences of the weight of each holding in the portfolio and the weight of each holding in the benchmark index and dividing by two. Active share is measured against the strategy's primary benchmark.

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the Firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC ("Horizon" or the "Firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®). A GIPS® compliant presentation and/or a list of composite descriptions are available upon request by contacting CSRD@horizonkinetics.com.

The Horizon Asia Opportunity Composite ("Strategy") seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of Asian issuers. Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Strategy is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

On February 29th 2012 the benchmark for the Horizon Institutional Asia strategy was changed retroactively from the S&P Asia 50 index to the MSCI All Country Asia Index, as we believe that the regional coverage within the MSCI All Country Asia Index better reflects the universe of the strategy (The MSCI All Country Asia is an equity index drawn from eleven major Asian markets - Japan, Hong Kong, Singapore, Korea, Taiwan, China, Philippines, Malaysia, India, Indonesia, and Thailand.) It is designed for investors seeking broad market exposure through an index that is efficient to replicate. The underlying prices for the MSCI All Country Asia are collected in local currencies and index levels are released in U.S. dollars and calculated on a real-time basis).

Unless otherwise noted, the portfolio characteristics shown above relate to the composite as of the date noted above. Not every client's account will have these exact characteristics. The actual characteristics with respect to any particular client account will vary based on a number of factors including but not limited to: (i) the size of the account; (ii) market prices of individual securities at the time of investment; (iii) and individual client circumstances.) On August 1st 2014, the name of this composite was changed from the Horizon Asia Institutional Composite to the Horizon Asia Opportunity Composite, in order to better reflect the Firm's strategy of investing in companies and regions in which potential, long-term growth opportunities have been identified. The Firm reserves the right to modify its current investment strategies and techniques based on changing market dynamics or client needs. This Strategy may invest in both equity and fixed income securities without regard to market capitalizations or issue size. Horizon does not necessarily fully invest portfolios immediately after an account is funded. There can be no assurance that any securities discussed herein will remain in an account. The securities discussed may not represent an entire account and in the aggregate may represent only a small percentage of an account's holdings.

The following applies to all of the indices used in this document: Indices are presented merely to show general trends in the markets for the period and are not intended to imply that the strategy is benchmarked to the indices either in composition or level of risk. The indices are unmanaged, may or may not be investable, have no expenses and reflect reinvestment of dividends and distributions. Index data is provided for comparative purposes only. A variety of factors may cause an index to be an inaccurate benchmark.

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